

Economic restitution by Germany to United Nations

In lieu of recurring reparations payments the nation entitled to such payments will receive from Germany a lump sum payment in the form of German material resources, German human resources and German territory.

This lump sum payment, which may be described as restitution rather than reparations will be effected in the following manner:

- (a) The transfer of German territory to liberated countries including the industrial installations located there. It is proposed that the great industrial areas of Silesia be transferred to Poland and the industry of the Saar and the adjacent territories be transferred to France. These territories will be represent enormous wealth to the recipient countries.
- (b) By removal and distribution among devastated countries, of industrial plants and equipment and transportation facilities including railroads, situated within the remaining German territory and the Ruhr. It is expected that complete factory units, machinery, equipment, stocks of raw materials, railroad and shipping will be transferred to the devastated countries and will constitute a real basis for the reconstruction and industrialization of liberated Europe. To the extent possible the whole industry of the Ruhr will be so transferred.
- (c) By the creation of German labor battalions to be used for reconstruction work outside Germany.
- (d) By confiscation of all German foreign exchange assets of any character whatsoever.

The type of restitution described above will be more beneficial both politically and economically to recipient countries than would be any form of recurring reparations payments.

Benefits will be realized almost immediately by the receipt of machinery, equipment and manpower, and the economies of the recipient countries will be strengthened absolutely as well as relatively to that of Germany.